
MEMORANDUM

TO: Mayor Patrick Collins, and City Council
FROM: TJ Barttelbort, Purchasing Manager 
DATE: March 18, 2026
SUBJECT: Professional Services Agreement between the City of Cheyenne and McGee, Hearne & Paiz, LLP d/b/a MHP Assurance Services, LLP, for Auditing the Annual Financial Statements of the City of Cheyenne, Wyoming and its Board of Public Utilities

Four (4) Proposers responded to Request for Proposal (RFP) #2-26, for Auditing the Annual Financial Statements of the City of Cheyenne, Wyoming and its Board of Public Utilities. The project will provide audit services and report preparation for a three (3) year term.

The proposals were received from:

1. CLA (CliftonLarsonAllen LLP)
2. ClingerHagerman, LLC
3. Eide Bailly LLP
4. McGee, Hearne & Paiz, LLP d/b/a MHP Assurance Services, LLP

Upon review of the proposals by the evaluation panel, the group has recommended acceptance of the proposal submitted by McGee, Hearne & Paiz, LLP d/b/a MHP Assurance Services, LLP.

The Consultant shall bill the City and the Board separately for each entity's respective share of the services performed under this Agreement, and each entity shall be responsible only for payment of the amounts attributable to its respective audit services.

1. For the **City**, a total not to exceed amount of **\$352,800.00**.
2. For the **Board of Public Utilities**, a total not to exceed amount of **\$195,800.00**.
3. Total Contract amount, not to exceed **\$548,600.00**.

Basis for award was based on a Qualifications and Pricing based review and scoring of proposals.

Funding: General Fund & BOPU

City Contract No. _____

**PROFESSIONAL SERVICES AGREEMENT
FOR
AUDITING THE ANNUAL FINANCIAL STATEMENTS OF THE CITY OF
CHEYENNE, WYOMING, AND ITS BOARD OF PUBLIC UTILITIES**

This Professional Services Agreement (“Agreement”) is made and entered into by and between the City of Cheyenne, located at 2101 O’Neil Avenue, Cheyenne, Wyoming 82001 (“City”), the Cheyenne Board of Public Utilities, located at 2416 Snyder Avenue, Cheyenne, Wyoming 82001 (“Board”), and McGee, Hearne & Paiz, LLP d/b/a MHP Assurance Services, LLP, located at 1509 Bent Ave, Cheyenne, Wyoming 82001 (“Consultant”). This Agreement shall become effective upon the date of the last signature affixed hereto.

RECITALS

In consideration of the mutual covenants and obligations herein expressed, it is agreed by and between the parties as follows:

1. **SCOPE OF WORK**

The Consultant agrees to provide services as described for Auditing the Annual Financial Statements of the City of Cheyenne, Wyoming, and the Cheyenne Board of Public Utilities, in accordance with City of *Cheyenne Request for Proposal #2-26*, incorporated herein by reference, and the *Consultant’s submitted proposal*, dated February 26, 2026, also incorporated herein by reference.

The services performed under this Agreement include audit services for both the City and the Board of Public Utilities, which are separate reporting entities, and the Consultant shall allocate and invoice services accordingly.

2. **TIME OF PERFORMANCE**

The work included in this Scope of Work will be completed by **May 31, 2029**.

3. **COMPENSATION**

In consideration of the services to be performed pursuant to this Agreement, the Consultant will bill the City and Board, and the City and Board agrees to pay Consultant as stated in Exhibit A – Compensation Schedule.

The Consultant shall bill the City and the Board separately for each entity’s respective share of the services performed under this Agreement, and each entity shall be responsible only for payment of the amounts attributable to its respective audit services. For the City, a total not to exceed amount of three hundred fifty-two thousand, eight hundred dollars (\$352,800.00). For the Board of Public Utilities, a total not to exceed amount of one hundred ninety-five thousand, eight hundred dollars (\$195,800.00). The total contract amount shall not exceed five hundred forty-eight thousand, six hundred

dollars (\$548,600.00). Nothing in this Agreement shall be construed to make the City responsible for payment of the Board's obligations, or the Board responsible for payment of the City's obligations.

4. CONSULTANT RESPONSIBILITY

In providing services under this Agreement, the Consultant shall perform in a manner consistent with that degree of care and skill ordinarily exercised by members of the same profession currently practicing under similar circumstances. Upon notice to the Consultant, the Consultant will, without additional compensation, correct those services not meeting such a standard.

5. COMPLIANCE WITH LAWS

The Parties agree that they will perform their obligations as provided in this Agreement in accordance with all applicable laws and ordinances.

6. DRUG-FREE WORKPLACE

In compliance with the Drug-Free Workplace Act of November 1988, the City and the Board have established an Alcohol and Controlled Substance Policy that pertains to alcohol and drug usage by City and Board employees. All architects, engineers, and other consultants under contract with City of Cheyenne, and their employees and sub-consultants, are required to comply with the provisions of the City's and Board's Alcohol and Controlled Substance Policy for drug and/or alcohol usage on City property or other sites occupied by the Consultant while performing the duties and responsibilities of the Agreement. It is the responsibility of the Consultant to familiarize themselves with the requirements of this policy and to inform all their employees and sub-consultants of the requirements and ensure their compliance. If the Consultant, their employees, or sub-consultants are found in violation of this policy, the Agreement may be terminated.

7. INDEMNIFICATION/HOLD HARMLESS

The Consultant agrees to indemnify, hold harmless, and defend the City and the Board from and against any and all liabilities, claims, penalties, forfeitures, and suits, and the cost and expenses incident thereto, including reasonable attorney's fees, which may hereafter arise as a result the performance of the Consultant's duties, including death or bodily injury to any person, destruction or damage to any property, contamination of or adverse effects on the environment, or any violation of governmental laws, regulations, or orders to the extent caused by (1) the Consultant's breach of any term or provision of this Agreement; or (2) any negligent or wrongful act, error, or omission by the Consultant, or its employees or sub-consultants in the performance of this Agreement. The Consultant acknowledges that it may incur a financial obligation to the City and the Board pursuant to the terms of this paragraph.

8. INSURANCE REQUIREMENTS

The Consultant must provide proof of the following insurance coverages:

Commercial General Liability Insurance

For claims arising out of bodily injury, illness, or death, or from damage to or destruction of property of others, including loss or use thereof, with minimum limits of \$1,000,000 per occurrence, \$2,000,000 aggregate for the entire term of the Agreement.

Workers' Compensation

Workers' compensation coverage shall be in effect for the entire term of the Agreement, as required by Wyoming law, for all employees or agents providing services under this Agreement. Consultant shall provide the City and the Board with proof of workers' compensation or employer's liability insurance coverage.

Professional Liability Insurance

The Consultant shall provide proof of professional liability insurance or errors and omissions liability insurance in an amount not less than \$500,000 to protect the City and the Board from any and all claims arising from the Consultant's negligence in the performance of duties under this Agreement. The City and the Board prefer that this liability insurance coverage be provided pursuant to an "occurrence" policy.

If this coverage is provided pursuant to a "claims made" policy:

- a. Consultant shall, concurrently with the execution of this Agreement, provide the City and the Board with a certificate of insurance demonstrating that such coverage is or shall be in effect at the time the Consultant begins the provision of services under this Agreement; and
- b. In the event the Consultant's services extend into a future policy period, the Consultant shall, prior to the policy expiration date, provide the City and the Board with a new certificate of insurance demonstrating that such coverage is or shall be in effect during all periods of time that Consultant will provide services under this Agreement; and
- c. Consultant shall maintain said "claims made" coverage for a period of five (5) years following the last date that Consultant has provided services under this Agreement; and
- d. In the event the Consultant or the insurer terminates "claims made" coverage prior to the expiration of the periods provided in subparagraphs a., b., or c. of this paragraph, the Consultant shall provide to the City and the Board advance written notification of the termination of said coverage and shall provide the City and the Board with an endorsement for an extended reporting period ("tail coverage") which shall be in effect for a period of time not less than five (5) years following the last date that Consultant has provided services under this Agreement.

Additional Insurance Information

The Consultant shall name the City of Cheyenne and the Board of Public Utilities as **Additional Insureds** by endorsement on its insurance policies and shall provide the City

and the Board each with a copy of the endorsements. This requirement does not apply to workers' compensation and professional liability insurance policies.

Consultant shall provide the City and the Board with certificates of insurance acknowledging the above-stated coverages prior to beginning any work under this Agreement.

It is understood and agreed that these policies are primary and not contributory. All policies required under this Agreement shall be in effect for the duration of the Agreement. It shall be an affirmative obligation upon Consultant to immediately notify in writing the city risk manager, city clerk, the city attorney, and the Board of any fact, circumstance, or occurrence that has resulted in or may result in the cancellation of, or substantive change to any insurance coverage required by this Agreement, and failure to do so shall be construed to be a breach of this Agreement.

If requested by the City or the Board, the Consultant shall provide the City or the Board, respectively, with copies of insurance policies and/or policy endorsements listing the City of Cheyenne and the Board of Public Utilities as additional insureds. The City's or the Board's failure to request or review such policies, endorsements, or certificates shall not affect the City's or the Boards rights or Consultant's obligation hereunder.

Any insurance company providing coverage under this Agreement shall have a minimum A. M. Best rating of A- (excellent).

9. MINORITY AND DISADVANTAGED BUSINESS ENTERPRISES (49 C.F.R. Part 26)
All parties to this Agreement assure that no person will be excluded from participation in, denied the benefits of, or otherwise discriminated against, in connection with the award and performance of this Agreement on the grounds of age, race, color, disability, national origin, or sex.
10. MONTHLY REPORT
With each monthly billing, the Consultant shall provide the City and the Board with a written statement describing the status of the work under the Scope of Work, together with applicable time sheets and an updated work schedule. The Consultant shall submit separate invoices to the City and to the Board for services performed for each entity. Failure to provide the required monthly report may delay processing of the corresponding invoice until the report is submitted.
11. INDEPENDENT CONSULTANT
The Consultant shall function as an independent consultant for the purposes of this Agreement. The Consultant shall assume sole responsibility for any debts or liabilities that may be incurred by the Consultant in fulfilling the terms of this Agreement. Nothing in this Agreement shall be interpreted as authorizing the Consultant or its agents or employees to act as an agent or representative of or on behalf of the City or the Board, or to incur any obligation of any kind on the behalf of the City or the Board.

12. TAXES

The Consultant agrees to pay all valid taxes, excises, license fees, permit fees, bills, debts, and obligations incurred by and in connection with its operations under this Agreement.

13. DEFAULT

Each and every term and condition in this Agreement shall be deemed to be a material element of the Agreement. In the event either party should fail or refuse to perform according to the terms of this Agreement, such party may be declared in default.

14. REMEDIES

In the event a party has been declared in default, such defaulting party shall be allowed a period of fifteen (15) days within which to cure the default. In the event the default remains uncorrected, the non-defaulting party may elect to:

- a. Terminate the Agreement and seek damages, which damages shall not exceed the contract amount; or
- b. Treat the Agreement as continuing and require specific performance.

15. TERM AND TERMINATION

The term of this Agreement shall be from date of execution to **June 30, 2029**. The parties may by mutual written agreement renew or extend this Agreement. The City or the Board may, without cause and upon thirty (30) days' written notice to the Consultant, terminate this Agreement in whole or in part as it relates to the services being performed for that entity. Such termination by one entity shall not terminate the Agreement with respect to the other entity unless otherwise agreed in writing by the parties. Upon receipt of such notice, the Consultant shall:

- a. Discontinue all services affected; and
- b. Deliver to the terminating entity within five (5) days all data, drawings, specifications, reports, estimates, summaries, and such other information and materials as may have been accumulated by the Consultant in performing this Agreement, whether completed or in process.
- c. In the event of termination for convenience, the City or the Board, as applicable, will pay the Consultant for accepted work done and expenses incurred for services performed for that entity to the date of termination. Such acceptance shall not be unreasonably withheld.

16. ADDITIONAL REMEDIES

In the event the Consultant fails to strictly perform in accordance with this Agreement, the City or the Board may, with respect to services performed for that entity, elect to correct the deficiencies and charge the Consultant for the reasonable costs incurred in doing so. In the event of default of any of the conditions by either party which shall require the party not in default to commence legal or equitable action against the defaulting party, each party shall bear its own costs and expenses, including without limitation attorney's fees.

17. GOVERNING LAW, JURISDICTION AND VENUE

The construction, interpretation, and enforcement of this Agreement shall be governed by the laws of the State of Wyoming. The courts of the State of Wyoming shall have jurisdiction over any action arising out of this Agreement and over the parties, and the venue shall be the First Judicial District, Laramie County, Wyoming.

18. GOVERNMENTAL IMMUNITY

The City of Cheyenne and the Cheyenne Board of Public Utilities, along with their respective officials and employees, do not waive their governmental immunity by entering into this Agreement, except to the extent necessary for the parties to pursue a contract action to clarify or enforce the written terms of the Agreement. Furthermore, the City and the Board specifically retain all immunities and defenses available to them as sovereign or governmental entities pursuant to Wyo. Stat. § 1-39-101, *et seq.*, and all other relevant state and federal law. Designations of venue, choice of law, enforcement actions, and similar provisions shall not be construed as a waiver of governmental immunity. The parties agree that any ambiguity in this Agreement shall not be strictly construed, either against or for either party, except that any ambiguity as to governmental or sovereign immunity shall be construed in favor of governmental immunity.

19. MONITORING ACTIVITIES

The City and the Board shall have the right to monitor all activities related to this Agreement that are performed by the Consultant or its sub-consultants. This shall include, but not be limited to, the right to make site inspections at any time and with reasonable notice; to bring experts and consultants on site to examine or evaluate completed work or work in progress; to examine the books, ledgers, documents, papers, and records pertinent to this Agreement; and to observe personnel in every phase of performance of the related work.

20. OWNERSHIP OF DOCUMENTS AND WORK PRODUCT

All deliverables by the Consultant, all work product of the Consultant, all notes, calculations, memoranda, or any other documentation generated by the Consultant pursuant to the scope of this Agreement shall be the property of the City of Cheyenne or the Cheyenne Board of Public Utilities, as applicable to the services performed for that entity, and shall be provided to the City or the Board, upon request, for materials related to the services performed for that entity.

21. NON-DISCRIMINATION

The Consultant shall comply with the Civil Rights Act of 1964, the Wyoming Fair Employment Practices Act (Wyo. Stat. § 27-9-105, *et seq.*), the Americans With Disabilities Act (ADA), as amended, 42 U.S.C. § 12101, *et seq.*, and the Age Discrimination Act of 1975 and any properly promulgated rules and regulations thereto, and shall not discriminate against any individual on the grounds of age, sex, creed, color, race, religion, national origin, ancestry, pregnancy or qualifying disability in connection with the performance under this Agreement.

22. FORCE MAJEURE.

The performance of the Agreement by either party shall be subject to force majeure including, but not limited to, acts of God, fire, flood, natural disaster, war or threat of war, acts or threats of terrorism, civil disorder, unauthorized strikes, governmental regulation or advisory, recognized health threats as determined by the World Health Organization, the Centers for Disease Control, or local government authority or health agencies (including, but not limited to, the health threats of COVID-19, H1N1, or similar infectious diseases), curtailment of transportation facilities, or other similar occurrence beyond the control of the parties, where any of those factors, circumstances, situations, or conditions or similar ones prevent, dissuade, or unreasonably delay the performance required by this Agreement. The City, the Board, or the Consultant may cancel this Agreement as it relates to that party's services by written notice to the other parties, without liability, damages, fees, or penalty, and any unused deposits or amounts paid shall be refunded, for any one or more of the above reasons, by written notice to the other party.

23. PROFESSIONAL REGISTRATION

The Consultant shall endorse, as required by law, plans and reports prepared under this Agreement and shall affix thereto his or her seal of professional registration, showing that he or she is licensed to practice in the State of Wyoming, if necessary.

24. ENTIRETY OF AGREEMENT

This Agreement, consisting of eight (8) pages, together with Exhibit A – Compensation Schedule (two (2) pages); Request for Proposal RFP 2-26 issued via the OpenGov E-Procurement Portal; Addendum One (1) issued via the OpenGov E-Procurement Portal; and the Consultant's submitted proposal dated February 26, 2026 (twenty-seven (27) pages), constitutes the entire agreement and understanding of the parties with respect to the subject matter hereof. There are no other terms or conditions, written or oral, relating to or controlling this matter.

[SIGNATURES ON FOLLOWING PAGE]

IN WITNESS WHEREOF, the Parties to this Agreement, through their duly authorized representatives, have executed this Agreement on the days and dates set out below and certify that they have read, understood, and knowingly and voluntarily agreed to the terms and conditions of this Agreement. This Agreement may be executed in multiple counterparts, each of which shall be deemed an original, but all of which together shall constitute one and the same instrument.

City of Cheyenne

(SEAL)

By: _____
Patrick Collins, Mayor

Attest:

Kylie Soden, City Clerk

Date: _____

Cheyenne Board of Public Utilities

By: _____
Brad Brooks, Director

Date: _____

Consultant - McGee, Hearne & Paiz, LLP d/b/a
MHP Assurance Services, LLP

By: _____

Print Name: _____

Date: _____

Exhibit A – Compensation Schedule

APPENDIX A

Price of Engagements

Entity: City of Cheyenne, Wyoming
2101 O'Neil Ave.
Cheyenne, Wyoming 82001
307-637-6336
Contact: Robin Lockman, City Treasurer

Firm Name: McGee, Hearne & Paiz, LLP d/b/a MHP Assurance Services, LLP

Address: 1509 Bent Avenue

City: Cheyenne State: WY Zip: 82001

Telephone: 1-307-634-2151

Price of Financial Audit

Fiscal Year Ending June 30, 2026	\$ 81,800
Fiscal Year Ending June 30, 2027	\$ 84,475
Fiscal Year Ending June 30, 2028	\$ 90,400
Total Price for All Fiscal Years	\$ 256,675

Price of Single Audit

Fiscal Year Ending June 30, 2026	\$ 13,500
Fiscal Year Ending June 30, 2027	\$ 14,175
Fiscal Year Ending June 30, 2028	\$ 14,850
Total Price for All Fiscal Years	\$ 42,525

Drafting of the City's Financial and Compliance Report

Fiscal Year Ending June 30, 2026	\$ 17,000
Fiscal Year Ending June 30, 2027	\$ 17,850
Fiscal Year Ending June 30, 2028	\$ 18,750
Total Price for All Fiscal Years	\$ 53,600

APPENDIX B

Price of Engagements

Entity: Board of Public Utilities
2416 Snyder Ave.
Cheyenne, Wyoming 82001
307-637-6466
Contact: Brad Bowen, Administration Manager

Firm Name: McGee, Hearne & Paiz, LLP d/b/a MHP Assurance Services, LLP

Address: 1509 Bent Avenue

City: Cheyenne State: WY Zip: 82001

Telephone: 1-307-634-2151

Price of Engagement:

Fiscal Year Ending June 30, 2026	\$ 46,850
Fiscal Year Ending June 30, 2027	\$ 47,275
Fiscal Year Ending June 30, 2028	\$ 49,850
Total Price for All Fiscal Years	\$ 143,975

Drafting of the Board's Annual Comprehensive Financial Report

Fiscal Year Ending June 30, 2026	\$ 16,500
Fiscal Year Ending June 30, 2027	\$ 17,325
Fiscal Year Ending June 30, 2028	\$ 18,000
Total Price for All Fiscal Years	\$ 51,825